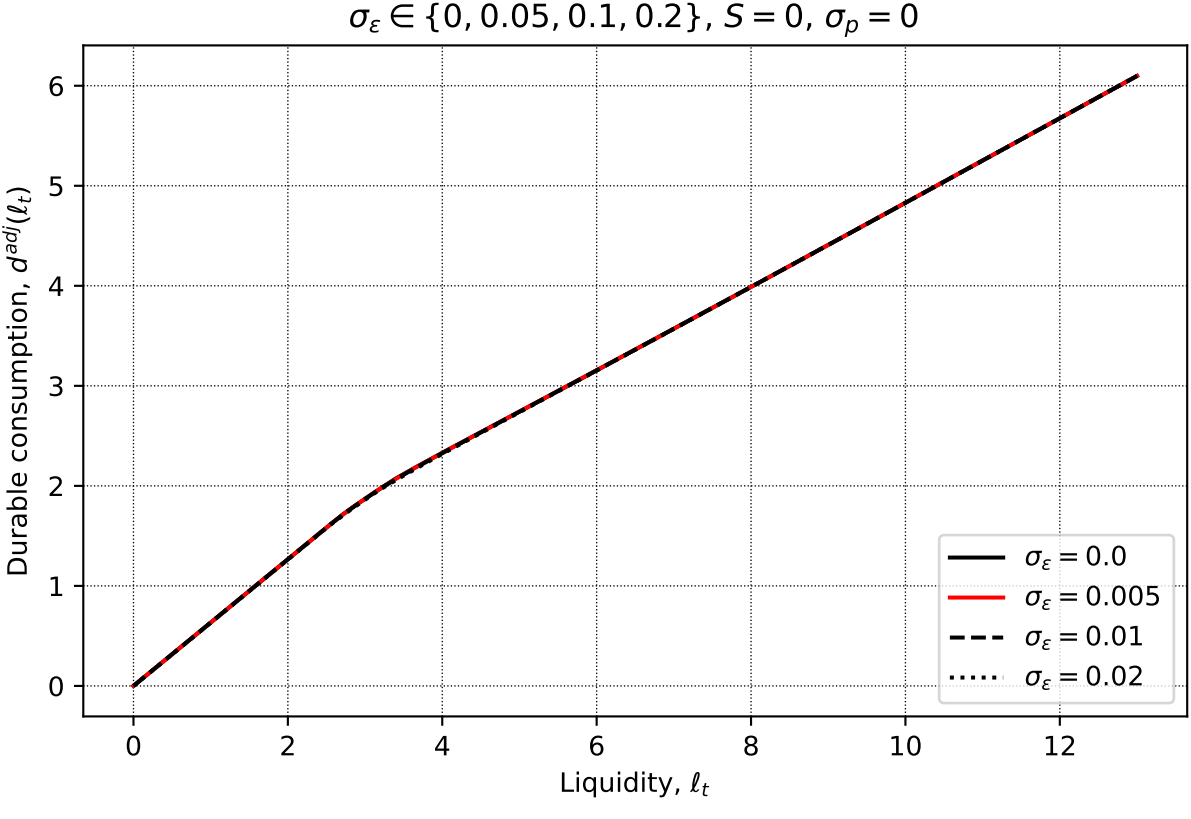
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
0
2
4
6
8
10
12
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.005$
$\sigma_\varepsilon = 0.01$
$\sigma_\varepsilon = 0.02$